



*PRESENTS*

# CORE TRAINING [ANALYSIS]

Trading with FOMC Key Levels

with Frank Ochoa, AKA *PivotBoss*  
Author, *Secrets of a Pivot Boss*



**PIVOT BOSS  
MASTERS**

# ABOUT FOMC KEY LEVELS

FOMC Key Levels are based off the price at 1pm Central (2pm Eastern) when the FOMC Statement and the Federal Interest Rate decision are announced. This announcement has a huge impact on interest rates, stock market returns, and bond yields, therefore, the price when the news is announced is oftentimes an important pivot to trade by.

**FOMC: Federal Open Market Committee**

## **FOMC KEY LEVEL:**

**The price of an underlying at 1PM CT (2PM ET) on the day the FOMC Statement and Federal Interest Rate decision are released.**

This key level mostly applies to futures and commodities markets, but can also be applied to big name stocks.

- The FOMC meets 8 times per year, approximately every 6 weeks
- Think of these meetings like the Fed equivalent of quarterly earnings
- These announcements have immediate impacts on interest rates, stock market returns, and bond yields
- When the FOMC announcement is made at 1pm Central, the Open price at 1pm becomes the new FOMC Key Level for that specific meeting
- The FOMC Key Level then becomes an important pivot that can be traded, both as entries and targets
- These FOMC Key Levels can have significant lasting power, as these levels remain relevant months, and even years in to the future



# TRADING FOMC KEY LEVELS

Market prices tend to trade away from, and back to, FOMC Key Levels over time. This pattern of repetition is beneficial in anticipating and forecasting the next key price move as it relates to the FOMC Key Level.

## PRIMARY APPROACH TO TRADING FOMC KEY LEVELS

- Can be used as entries in an effort to ride the initial move away from the Level
- Can be used as Targets in an effort to return price to the Level for a retest
- Can be faded/ defended in an effort to return price in the direction of the initial move

- First Identify the "Initial Move" from the FOMC Level

*The Initial Move is the market-generated price swing that occurs away from the FOMC Key Level once the announcement is made. This move usually occurs within 1-2 days of the FOMC date, but has been known to take several days before direction is established.*
- Look to Fade Price Back to the Level after Rejection

*Once the Initial Move has commenced, an eventual rejection or failed continuation of this move will likely return price back toward the FOMC Key Level.*
- Look to Defend the Level Upon a Retest

*Once price returns to the Key Level, odds favor a defense by the market participants that sparked the Initial Move, so fading this level offer a high probability opportunity.*

/6B - Quick Chart Main@thinkorswim [build 1922]

Quick Chart on /6B

/6B British Pound Futures, ETH (MAR 18) **1.3812** -0.009 -0.65%  
 /6B 5 Y 1D D: 3/8/18 O: 1.3901 H: 1.3914 L: 1.3784 C: 1.3812 R: 0.013 MedianPrice 1.3849 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A

## TRADING WITH FOMC KEY LEVELS

### ABOUT FOMC KEY LEVELS

FOMC Key Levels are extremely important price levels that are created the day the FOMC Statement and Federal Interest Rate decision is announced.

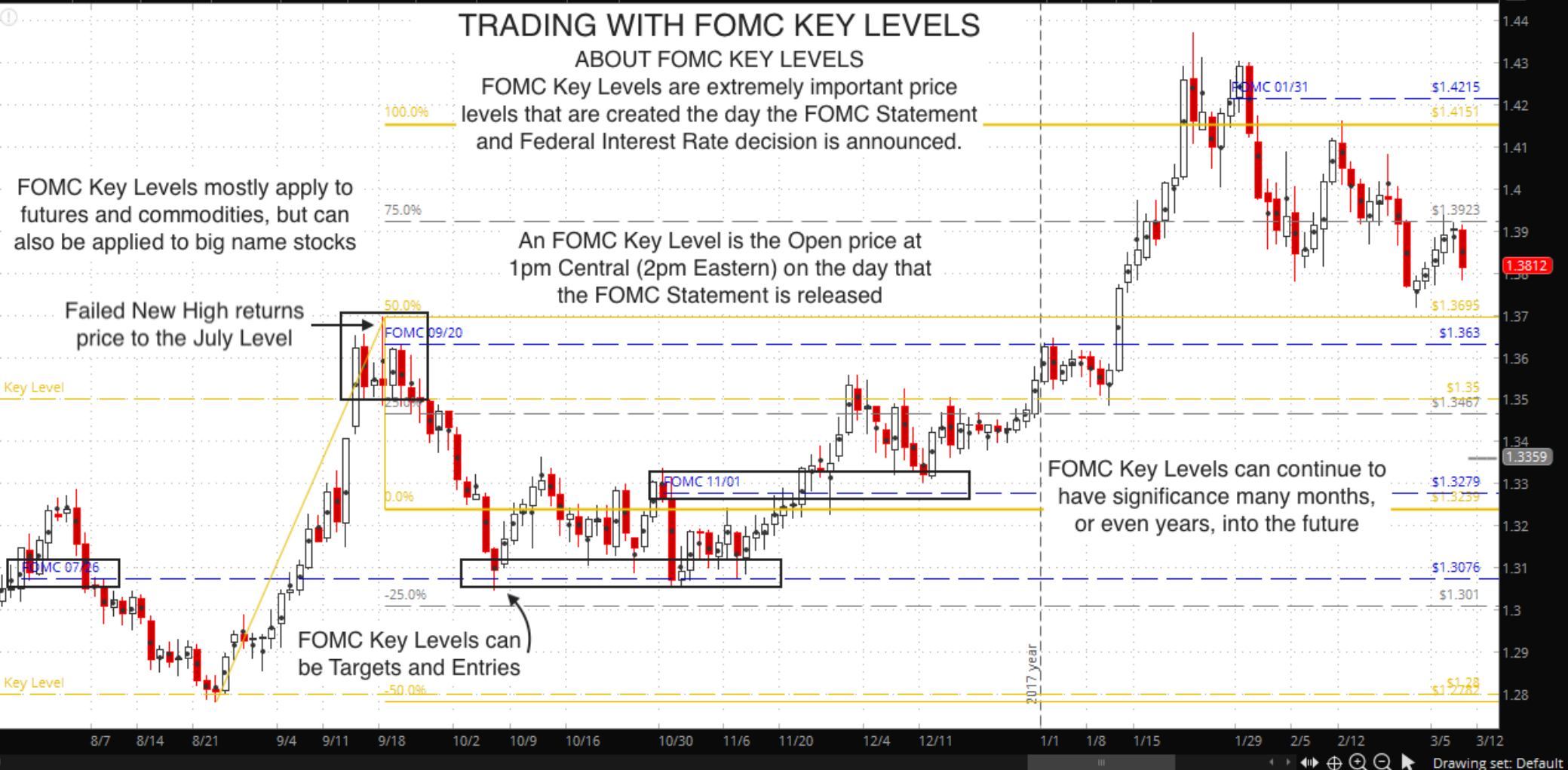
FOMC Key Levels mostly apply to futures and commodities, but can also be applied to big name stocks

Failed New High returns price to the July Level

An FOMC Key Level is the Open price at 1pm Central (2pm Eastern) on the day that the FOMC Statement is released

FOMC Key Levels can continue to have significance many months, or even years, into the future

FOMC Key Levels can be Targets and Entries



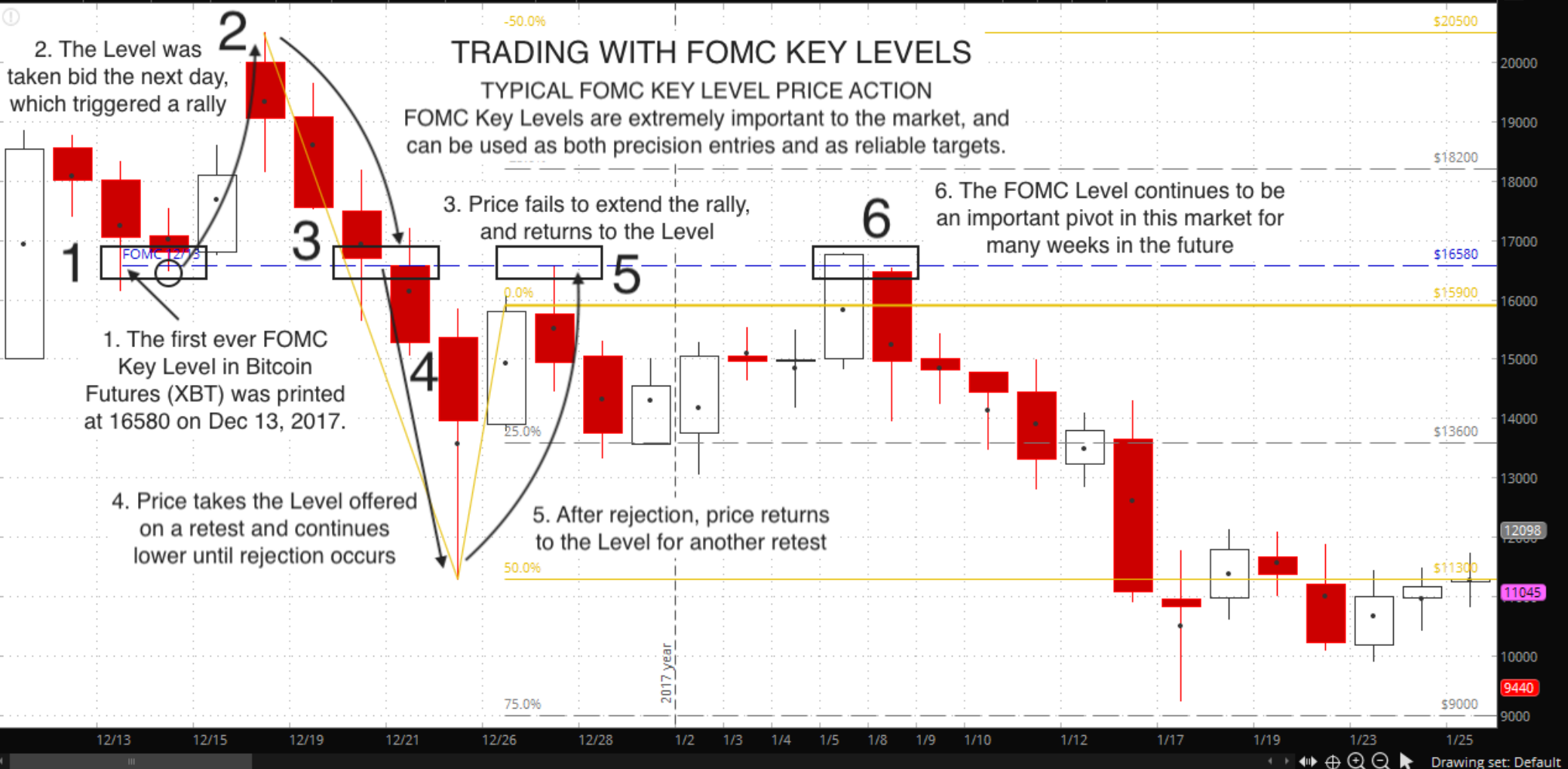


/XBT - Quick Chart Main@thinkorswim [build 1922]

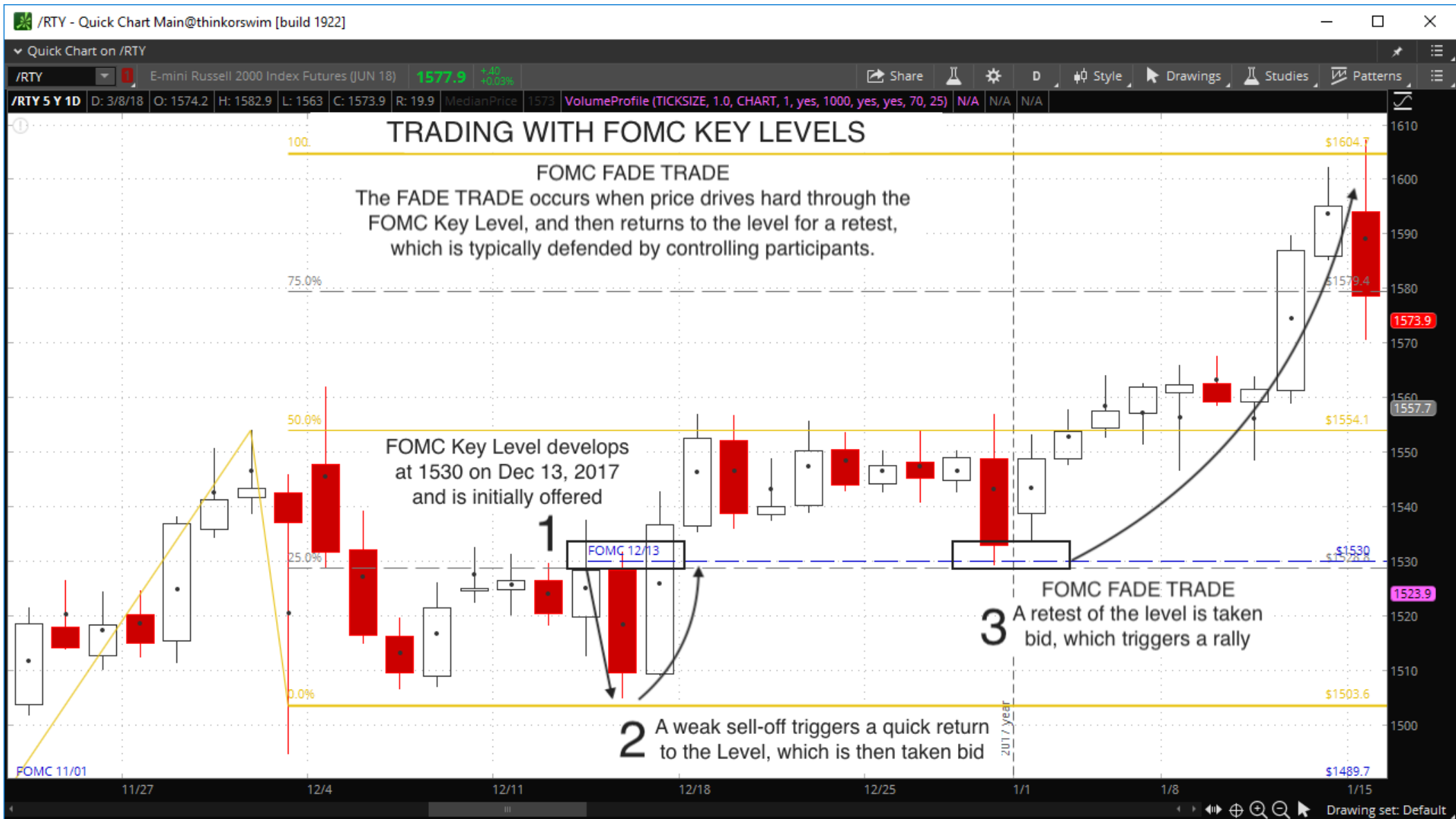
Quick Chart on /XBT

/XBT CBOE Bitcoin Futures (MAR 18) 9350 -485.00 -4.93%

/XBT 5 Y 1D D: 3/8/18 O: 9980 H: 10140 L: 9070 C: 9440 R: 1070 MedianPrice 9605 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A



Drawing set: Default



/XBT - Quick Chart Main@thinkorswim [build 1922]

Quick Chart on /XBT

/XBT CBOE Bitcoin Futures (MAR 18) 9350 -485.00 -4.93%

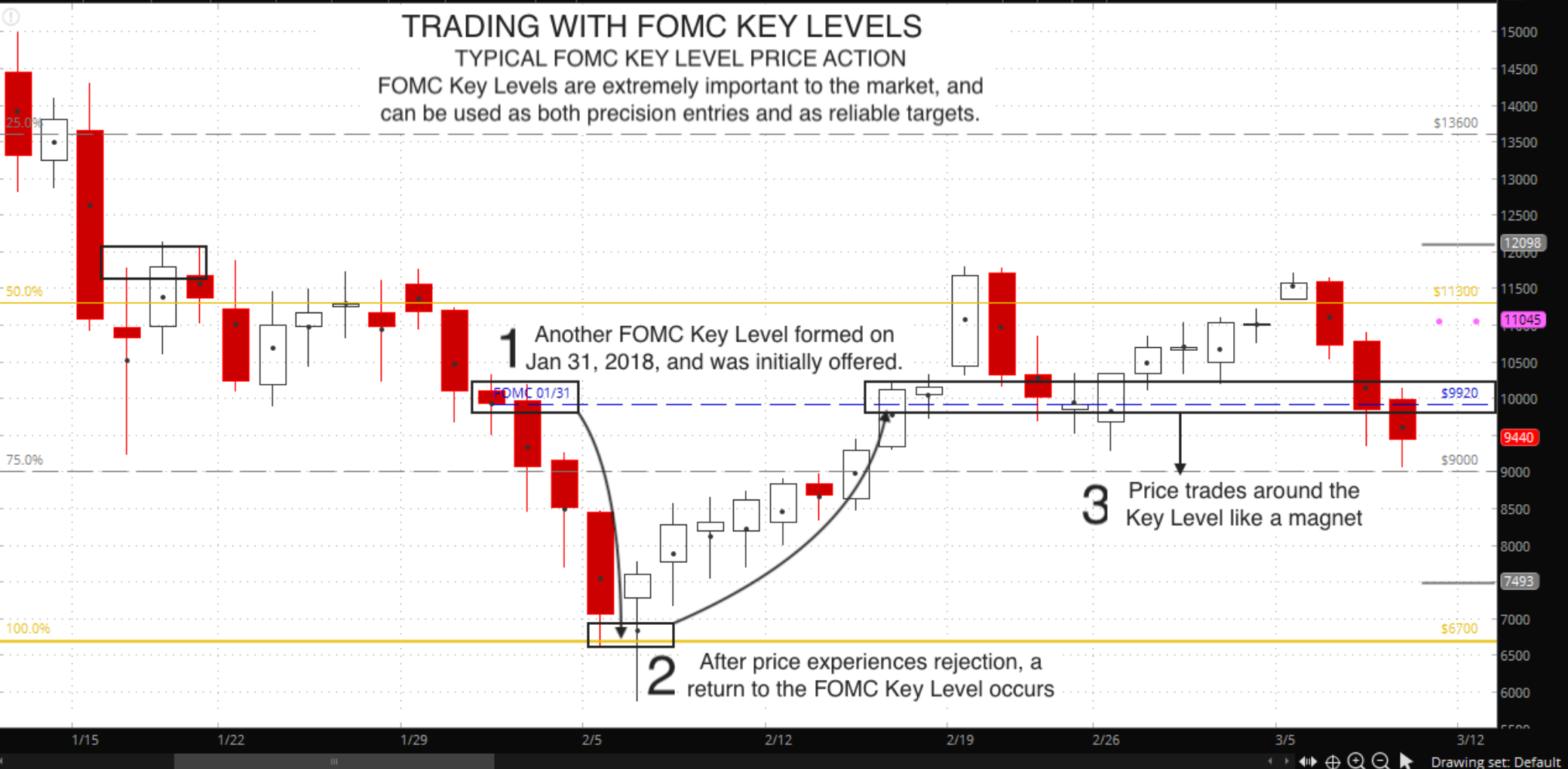
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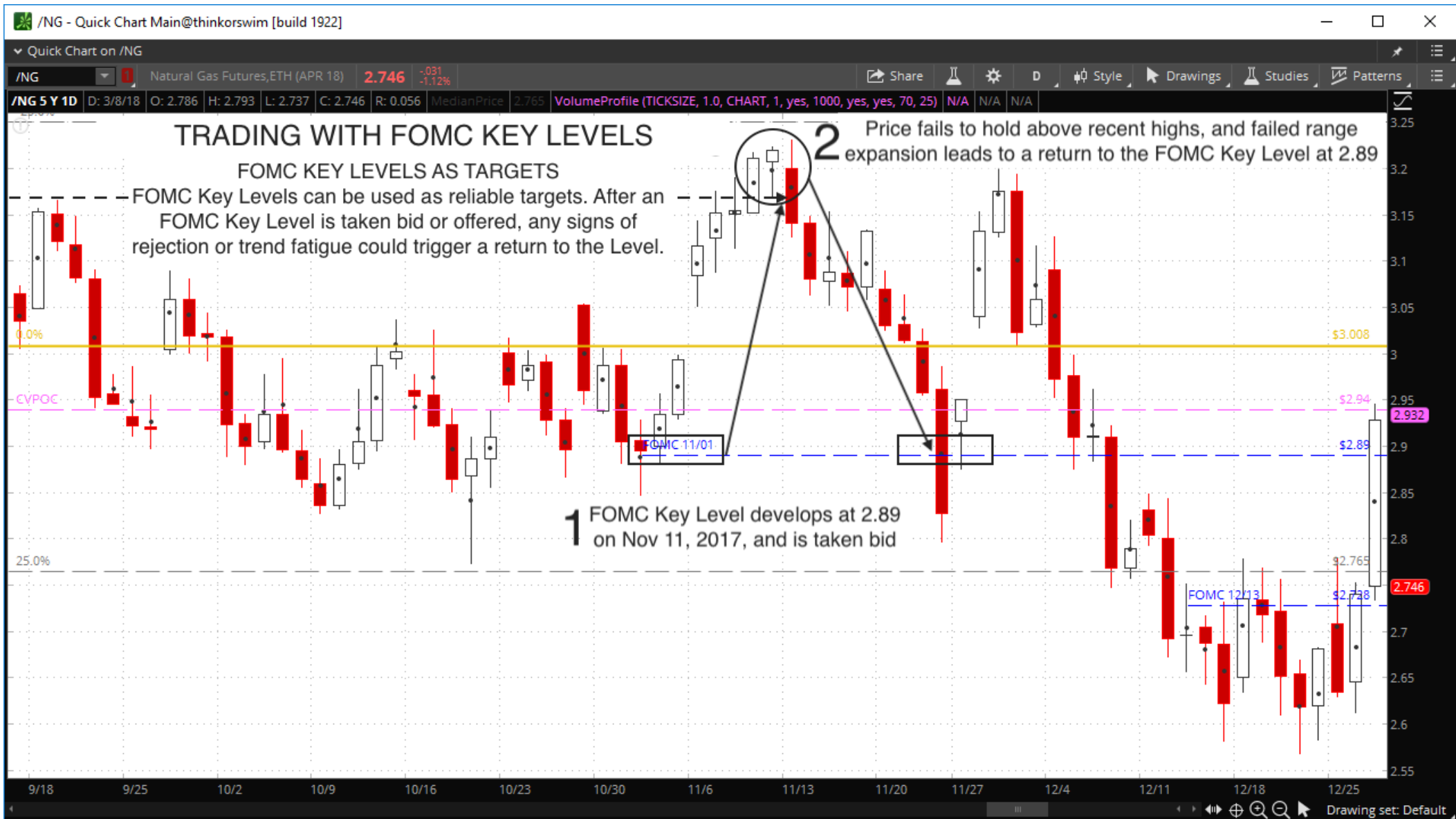
/XBT 5 Y 1D D: 3/8/18 O: 9980 H: 10140 L: 9070 C: 9440 R: 1070 MedianPrice 9605 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A

## TRADING WITH FOMC KEY LEVELS

### TYPICAL FOMC KEY LEVEL PRICE ACTION

FOMC Key Levels are extremely important to the market, and can be used as both precision entries and as reliable targets.







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